



Enrichment Exercise # 1

Pick a company and identify the Taxes the company will pay versus the amounts deferred. Identify the components of the Deferred Taxes. Do they have Net Operating Losses?

Find the [Yahoo! 2016 Annual Report here](#) for reference. (Continue to next page)



ESSENTIALS OF FINANCIAL ACCOUNTING

Yahoo! Inc. Consolidated Statements of Operations

	Years Ended December 31,		
	2014	2015	2016
	(in thousands, except per share amounts)		
Revenue	\$ 4,818,133	\$ 4,968,301	\$ 5,169,135
Operating expenses:			
Cost of revenue—traffic acquisition costs	217,531	877,514	1,650,788
Cost of revenue—other	1,169,844	1,200,234	1,068,108
Sales and marketing	1,084,438	1,080,718	881,521
Product development	1,156,386	1,177,923	1,055,462
General and administrative	686,272	687,804	650,708
Amortization of intangibles	66,750	79,042	58,302
Gain on sale of patents and land	(97,894)	(11,100)	(121,559)
Asset impairment charge	—	44,381	—
Goodwill impairment charge	88,414	4,480,837	394,901
Intangible assets impairment charge	—	15,423	87,335
Restructuring charges, net	103,450	104,019	88,629
Total operating expenses	4,475,191	9,718,795	5,814,193
Income (loss) from operations	142,942	(4,748,494)	(646,058)
Other income (expense), net	10,389,439	(75,782)	(53,916)
Income (loss) before income taxes and earnings in equity interests	10,512,381	(4,824,276)	(698,974)
(Provision) benefit for income taxes	(4,038,102)	89,508	126,228
Earnings in equity interests, net of tax	1,057,863	383,571	363,283
Net income (loss)	7,532,142	(4,351,107)	(209,463)
Net income attributable to noncontrolling interests	(10,411)	(7,975)	(4,858)
Net income (loss) attributable to Yahoo! Inc.	\$ 7,521,731	\$ (4,358,082)	\$ (214,321)
Net income (loss) attributable to Yahoo! Inc. common stockholders per share—basic	\$ 7.61	\$ (4.64)	\$ (0.23)
Net income (loss) attributable to Yahoo! Inc. common stockholders per share—diluted	\$ 7.45	\$ (4.64)	\$ (0.23)
Shares used in per share calculation—basic	987,819	939,141	949,843
Shares used in per share calculation—diluted	1,004,108	939,141	949,843
Stock-based compensation expense by function:			
Cost of revenue—other	\$ 42,155	\$ 32,010	\$ 34,742
Sales and marketing	143,777	141,418	142,301
Product development	139,056	190,454	213,451
General and administrative	93,186	93,271	101,408
Restructuring charges, net	—	2,705	7,374

The accompanying notes are an integral part of these consolidated financial statements.

Yahoo Income Statement shows us the amount of Income before taxes and the tax expense based on financial reporting rules

Note 16 Income Taxes

The components of income (loss) before income taxes and earnings in equity interests are as follows (in thousands):

	Years Ended December 31,		
	2014	2015	2016
United States	\$ 10,572,290	\$ (4,394,462)	\$ (819,838)
Foreign	(59,909)	(429,814)	120,864
Income (loss) before income taxes and earnings in equity interests	\$ 10,512,381	\$ (4,824,276)	\$ (698,974)

The provision (benefit) for income taxes is composed of the following (in thousands):

	Years Ended December 31,		
	2014	2015	2016
Current:			
United States federal	\$ 3,067,395	\$ (89,498)	\$ 73,484
State	454,261	9,426	(1,619)
Foreign	50,573	32,815	26,644
Total current provision (benefit) for income taxes	\$ 3,572,229	\$ (47,257)	\$ 98,509
Deferred:			
United States federal	348,887	(20,507)	(206,096)
State	120,938	(31,374)	(18,007)
Foreign	(3,952)	9,540	(634)
Total deferred provision (benefit) for income taxes	\$ 465,873	\$ (42,341)	\$ (224,737)
Provision (benefit) for income taxes	\$ 4,038,102	\$ (89,598)	\$ (126,228)

The Yahoo footnote disclosure explains the calculations: The current portion of 98,509 is the amount they will actually pay the government and this is based on the tax reporting rules; the deferred portion represents the difference b/w the rules and this will be paid in the future. As you can see at the bottom, the total provision (benefit) for taxes of 126,228 matches the amount show on the Income Statement



ESSENTIALS OF FINANCIAL ACCOUNTING

Deferred income taxes reflect the tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The components of deferred income tax assets and liabilities are as follows (in thousands):

	December 31,	
	2015	2016
Deferred income tax assets:		
Net operating loss and tax credit carryforwards	\$ 185,425	\$ 136,929
Stock-based compensation expense	34,644	39,211
Non-deductible accrued expenses	114,519	172,224
Deferred revenue	10,153	12,345
Fixed assets	14,096	12,181
Federal benefits relating to tax positions	308,347	336,963
Other	8,580	7,281
Gross deferred income tax assets	675,764	717,134
Valuation allowance	(29,001)	(36,354)
Deferred income tax assets	\$ 646,763	\$ 680,780
Deferred income tax liabilities:		
Purchased intangible assets	\$ (86,905)	\$ (25,833)
Fixed assets	(146,234)	(89,344)
Alibaba unrealized gains	(12,611,867)	(13,633,988)
Unrealized income in investments	(85,761)	(8,837)
Restructuring liabilities	(4,046)	(95)
Other	(2,216)	(1,278)
Deferred income tax liabilities	\$ (12,937,029)	\$ (13,759,375)
Net deferred income tax liabilities	\$ (12,290,266)	\$ (13,078,595)

As of December 31, 2016, the Company's federal and California net operating loss carryforwards for income tax purposes were approximately \$172 million and \$134 million, respectively. The federal and California net operating loss carryforwards are subject to various limitations under Section 382 of the Internal Revenue Code and applicable state tax law. If not utilized, the federal and California net operating loss carryforwards will begin to expire in 2021.